

**ANNOUNCEMENT OF AUDITED RESULTS FOR THE FINANCIAL YEAR ENDED 31 MARCH 2023**

The Board of Directors of Eaagads Ltd. is pleased to announce the audited financial results of the Company for the year ended 31 March 2023 as set out below: -

| <b>STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME</b> |                      |  |                       |
|-------------------------------------------------------------------|----------------------|--|-----------------------|
|                                                                   | <b>31 March 2023</b> |  | <b>31 March 2022</b>  |
|                                                                   | <b>Kshs'000</b>      |  | <b>Kshs'000</b>       |
| Revenue                                                           | 234,296              |  | 142,234               |
| Fair value gain on biological assets                              | 14,290               |  | 9,685                 |
| Cost of production                                                | <u>(182,777)</u>     |  | <u>(101,913)</u>      |
| <b>Gross profit</b>                                               | <b>65,809</b>        |  | <b>50,006</b>         |
| Net operating costs                                               | <u>(54,534)</u>      |  | <u>(40,309)</u>       |
| <b>Profit before taxation</b>                                     | <b>11,275</b>        |  | <b>9,697</b>          |
| Tax (charge)/Credit                                               | <u>(391)</u>         |  | <u>(163)</u>          |
| <b>Profit for the year</b>                                        | <b>10,884</b>        |  | <b>9,534</b>          |
| Other comprehensive (loss)/income                                 | <u>(3,596)</u>       |  | <u>153,758</u>        |
| <b>Total comprehensive income for the year</b>                    | <b><u>7,288</u></b>  |  | <b><u>163,292</u></b> |
| Basic and diluted earnings per share                              | <u>0.35</u>          |  | <u>0.33</u>           |

| <b>STATEMENT OF FINANCIAL POSITION</b> |                         |  |                         |
|----------------------------------------|-------------------------|--|-------------------------|
|                                        | <b>31 March 2023</b>    |  | <b>31 March 2022</b>    |
|                                        | <b>Kshs'000</b>         |  | <b>Kshs'000</b>         |
| <b>EQUITY</b>                          |                         |  |                         |
| Share capital                          | 40,196                  |  | 40,196                  |
| Revaluation reserve                    | 991,688                 |  | 1,003,639               |
| Retained earnings                      | <u>148,384</u>          |  | <u>129,145</u>          |
|                                        | <b><u>1,180,268</u></b> |  | <b><u>1,172,980</u></b> |
| <b>Non-current liabilities</b>         | 213,942                 |  | 97,315                  |
| <b>Current liabilities</b>             | <u>27,084</u>           |  | <u>25,726</u>           |
| <b>Total equity and liabilities</b>    | <b><u>1,421,294</u></b> |  | <b><u>1,296,021</u></b> |
| <b>REPRESENTED BY:-</b>                |                         |  |                         |
| <b>Non-current assets</b>              | 1,258,038               |  | 1,153,985               |
| <b>Current assets</b>                  | <u>163,256</u>          |  | <u>142,036</u>          |
|                                        | <b><u>1,421,294</u></b> |  | <b><u>1,296,021</u></b> |

| Statement of Changes in Equity          |               |                     |                   |                  |
|-----------------------------------------|---------------|---------------------|-------------------|------------------|
|                                         | Share capital | Revaluation surplus | Retained earnings | Total            |
|                                         | Kshs'000      | Kshs'000            | Kshs'000          | Kshs'000         |
| <b>At 1 April 2022</b>                  | 40,196        | 1,003,639           | 129,145           | 1,172,980        |
| Profit for the year                     | -             | -                   | 10,884            | 10,884           |
| Other comprehensive income for the year | -             | (3,093)             | (503)             | (3,596)          |
| Transfer of excess depreciation         | -             | (8,858)             | 8,858             | -                |
| <b>At 31 March 2023</b>                 | <b>40,196</b> | <b>991,688</b>      | <b>148,384</b>    | <b>1,180,268</b> |

| STATEMENT OF CASH FLOWS                                      | 31 March 2023 | 31 March 2022 |
|--------------------------------------------------------------|---------------|---------------|
|                                                              | Kshs'000      | Kshs'000      |
| Net cash generated from operating activities                 | 10,438        | 8,908         |
| Net cash used in investing activities                        | (5,405)       | -             |
| Net cash (used in) / generated from financing activities     | (5,766)       | 919           |
| <b>Net (decrease) /increase in cash and cash equivalents</b> | <b>(733)</b>  | <b>9,827</b>  |
| Cash and cash equivalents at the beginning of the year       | 9,677         | 1,256         |
| Effect of exchange rate changes on cash and cash equivalents | (382)         | (1,406)       |
| <b>Cash and cash equivalents at the end of the year</b>      | <b>8,562</b>  | <b>9,677</b>  |

## RESULTS SUMMARY

The above are extracts of the Financial Statements of Eaagads Limited that were approved by the Board of directors on 28<sup>th</sup> July 2023. These accounts were audited by Ernst & Young LLP, Certified Public Accountants and received an unqualified audit opinion.

## PERFORMANCE

In the year under review, the Company produced 347 tons of coffee compared with 188 tons produced in the year ended March 2023. The increase was mainly attributed to the favorable weather experienced in the year which enhanced bean development. In the period under review, the Company achieved sales of 348 tons of coffee compared with 185 tons in March 2022. The average price reduced during the year ended 31 March 2023 to USD 5.36 per kilogram from USD 6.90 per kilogram in the previous year.

To ensure sustainability of the coffee bushes, various intense coffee upkeep activities were undertaken to boost future productivity. The cost of production is directly correlated with production levels. Coffee upkeep costs, picking costs and wet processing costs increased by KShs 81million. Farm management fees remained constant at USD 90 per hectare.

The Company revalued its freehold land (44 hectares) resulting in a net revaluation loss of Kenya shillings three million due to the change of Capital Gains tax rate from 5% to 15%. The remaining land which

measures 341 hectares is held on a leasehold basis and is not subjected to valuation in line with the International Financial Reporting Standards.

### **OUTLOOK**

The future of the farm looks promising as evidenced by the good flowering exhibited on the trees for 2023/24 production season. The company is on course towards achieving its early crop harvest of 200 tons and a late crop harvest of 150 Tons. Although the weather forecasts indicate depressed rainfall patterns, farm management continues to put in place measures to ensure attainment of the crop projections.

International coffee market prices have been trading below 200 US cents per pound due to perceived favorable current harvest. According to ICO, Production for 2023-24 coffee season is expected to undergo another year of deficit mainly due to increased global fertilizer costs and adverse weather conditions that are expected to partially offset the positive impact of biennial production in South America coffee buffer zones. Looking ahead, the prices are likely to stabilize as the world looks for premier coffee beans. Eaagads coffee continues to attract a premium in the market due to its superior coffee quality. The farm continues to be managed by Coffee Management Services Ltd.

### **DIVIDEND**

The Board of Directors do not recommend payment of a dividend for the year ended 31 March 2023 (31 March 2022: Nil)

By the Order of the Board

Chairman  
29<sup>th</sup> July 2023